INS-301 · PARTICIPATING PUBLIC AGENCY GUIDE · DRAFT v0.95

Full draft with complete appendices; two decisions marked in place | HGF Management Company | July 13, 2026

City, County, Joint Powers Authority. Draft version 0.95, July 13, 2026, prepared for the founder's review. This full draft builds out the founder's outline of July 11 and 12. Two program decisions remain his and are marked in place: school-fee eligibility (question 9) and the financing platform's relationship to the note-per-project structure (question 10). The outline's mechanical defects are corrected here per the comparison memo; every factual claim traces to the INSITE Claims Register, entries listed in the Sources section; and the appendices carry full sample instruments and rendered diagrams, every sample bannered on its face for bond counsel review and marked not for execution. The founder's Google Doc remains the source of truth until he adopts this draft.

Part I: Introduction and Program Overview

Chapter 1: Introduction to INSITE

1.1 Purpose of this guide. This guide is written for the people inside a city, county, or joint powers authority who would touch the program: the city manager or county executive weighing it, the finance director who must know what it costs and risks, the city attorney who must know what it obligates, the community development staff who will see it at the permit counter, and the clerk who will calendar its resolutions. It explains what INSITE is, what a participating agency does and never does, how the legal structure works, and the exact path from first conversation to a functioning program. Read Chapters 1 through 3 for the decision, Chapters 4 through 7 for the operation, and the appendices when your counsel asks for the paper.

1.2 What INSITE is. INSITE finances development impact fees for small residential subdivisions, 2 to 50 lots, through a voluntary special tax on the project's own land, collected with the property tax bill under the Mello-Roos Community Facilities Act of 1982 (Government Code 53311 and following). A participating agency forms one community facilities district, once, with a recorded future annexation area; qualifying projects then join by administrative annexation with the landowner's written consent, and the council approves each one on its regular calendar. The developer's fee bill is paid at the front; the land repays over decades on the tax roll. Large master-planned communities have used this exact structure for a generation; INSITE's contribution is an operating program that makes it work at small-project scale.

1.3 Why INSITE was created. California needs housing, and a growing share of approved projects are small: Senate Bills 684 and 1123 now compel ministerial approval of qualifying subdivisions of ten or fewer lots on a sixty-day clock, and 62,372 units were permitted in one-to-four-unit structures statewide in 2025. Every one of those projects meets the same wall: development charges averaging $23,455 per single-family home in cited studies, exceeding $150,000 per unit in some cities, all due before the first home sells. Large builders solve this with community facilities districts; small builders write the check from working capital or borrow private money at 9.5 to 15 percent, because the traditional district, formed one project at a time over six months or more, does not pencil at ten lots. That is the gap: not the law, which works at any scale, but the transaction, which historically has not. INSITE is the transaction rebuilt for the 2-to-50-lot segment.

1.4 How INSITE fits within California public finance. INSITE stands on the most used land-secured financing law in the state and complements the two statewide programs agencies already know. The Statewide Community Infrastructure Program (SCIP), operated by the California Statewide Communities Development Authority since 2002, and the Bond Opportunities for Land Development program (BOLD), operated by the California Municipal Finance Authority, both finance impact fees and improvements through pooled statewide structures, and both are built around bond-sale economics that favor larger projects. Traditional single-project districts serve master-planned communities. Assessment districts serve benefit-apportioned improvements. INSITE occupies the seat those tools leave open: a locally controlled, standing district in each participating jurisdiction, sized and standardized for the small subdivision, with the agency's own council keeping every approval.

1.5 Why public agencies participate. Participation encourages the housing production the state now mandates; it converts fee deferral conversations into fee payment at the front of the project; it adds no obligation to the general fund; it consumes minimal staff time because the program administrator prepares every document and the county collects every dollar; and it gives small local builders the same financing tool the large ones have used for decades, at a cost far below private money. The city's own leverage is the point: one formation vote creates a standing capability, and each later project is one consent calendar item.

Chapter 2: Program Overview and Eligibility

2.1 Program objectives. Finance eligible development fees for qualifying small subdivisions; protect the agency completely from repayment obligation; protect homeowners through the statute's residential safeguards and the program's conservative underwriting; and run the whole machine on standardized documents so the tenth project costs less effort than the first.

2.2 Eligible public agencies. Any city or county may participate by forming its master district; a joint powers authority path exists for agencies that prefer a shared issuer, and the founder's structural preference between direct-agency and JPA participation is an open program decision addressed in Chapter 5. Special districts and school districts appear in this guide as coordinating agencies, not as forming agencies, at launch.

2.3 Eligible development projects. Residential subdivisions of 2 to 50 lots within a participating jurisdiction; finished or near-finished lots; appraised value of at least four times the proposed financing, program policy stricter than the statute's three-to-one floor in Government Code 53345.8; and a minimum financing size set at feasibility screening.

2.4 Eligible public improvements. The founder's outline contemplates financing constructed public improvements in addition to fees. Improvements are a recognized use of the Act; their inclusion in this program's launch scope is a founder decision that has not yet been made, and no improvement category enters underwriting until bond counsel confirms it deal by deal.

2.5 Eligible development fees. Development impact fees levied by the participating agency are the program's core. School fees are the open decision, question 9 to the founder: the launch policy excludes them; the founder's outline includes them; if he elects inclusion, the mechanism is a thin master joint community facilities agreement per city-and-district pair under Government Code 53316.2, with the developer paying the fee, presenting the district's clearance certificate, and receiving reimbursement from proceeds, subject to two bond counsel confirmations recorded in the Build Log. Utility connection fees, capacity charges, capitalized interest, and reserves appear in the founder's outline and enter the program only after counsel confirms each category.

2.6 Program participants. The participating agency, which forms the district and approves each annexation; the county, which collects the special tax on the property tax roll; the program administrator, HGF Management Company, which runs everything between; the developer, who applies, consents as landowner, and builds; the capital provider, whose facility funds the fees; and the professional bench: bond counsel, the special tax consultant, the independent MAI appraiser, and the tax roll administration firm.

2.7 Program requirements. The agency adopts local goals and policies as Government Code 53312.7 requires, forms the master district with its future annexation area, and thereafter approves annexations; the developer delivers one complete data package (form INS-201) and pays the deal's execution costs; and every project passes the appraisal and burden tests in Chapter 4 before any funding occurs.

Chapter 3: Benefits to Participating Agencies

3.1 Cities. Housing production the state now measures cities on; fees collected at the front of the project instead of deferred, negotiated, or defaulted; near-zero staff burden, because the administrator prepares the packet and the county does the collecting; and standardized paper, so the city attorney reviews a template once rather than a novel deal every time.

3.2 Counties. Everything a city receives, plus the levy itself: the special tax rides the county's existing tax-roll machinery, the same direct-levy process counties such as Sacramento already operate at scale, with the administrator preparing the annual submission to the county's specifications.

3.3 School districts. Pending the founder's decision on question 9. If school fees are included, districts receive their statutory fees sooner and with fewer deferral requests, at the cost of one master agreement signature; if excluded, districts are unaffected and this section is removed at adoption.

3.4 Special districts. Where a special district's fees or facilities enter a project, the joint agreement mechanism of Government Code 53316.2 is available on the same architecture as the school path; no special-district financing occurs at launch without counsel's per-case confirmation.

3.5 Joint powers authorities. For agencies preferring not to house the district themselves, a JPA can serve as the forming entity, the same architecture SCIP and BOLD use statewide; the tradeoff is local control of approvals, which is the direct-agency model's principal advantage.

3.6 Developers. The fee check stops consuming working capital or 9.5-to-15-percent private money; day-one cash drops to the deal's execution costs, targeted at $5,000 to $30,000 per project as a founder estimate pending vendor quotes; and the obligation belongs to the land, not the person. The companion INS-302 Developer Guide covers this audience in full.

3.7 Homebuyers. The special tax is fixed by a recorded formula before the first home sells; state law caps any increase caused by neighbors' delinquency at 10 percent for occupied homes (Government Code 53321(d)); every owner holds a prepayment right resting on Government Code 53344 and defined in the rate-and-method; the buyer receives the statutory Notice of Special Tax in escrow; and program policy benchmarks the total tax burden near 2 percent of home value, the standard used by the state's largest issuer.

3.8 The community. More housing actually built from the approvals already granted; infrastructure fees actually paid; and no resident anywhere in the jurisdiction pays anything unless they own land inside a project that volunteered.

Part II: Program Formation and Financing

Chapter 4: The INSITE Program Lifecycle

The lifecycle runs in three phases and sixteen steps; this structure supersedes the eleven-step list in the outline's body.

Phase 1: Program qualification (per project). 4.1 The developer submits the INS-201 data package: title, maps, budget, the jurisdiction's posted fee schedule for the parcels, entitlements, and entity documents. 4.2 Eligibility review confirms the project fits the 2-to-50-lot box and the participating jurisdiction. 4.3 Fee verification prices the eligible fees against the agency's posted schedule, which Government Code 65940.1 requires every agency to maintain online. 4.4 Improvement verification applies only if the founder opens the improvements category. 4.5 An independent MAI appraiser, engaged under the program's appraisal manual (INS-101) to State Treasurer standards, values the lots; the program requires value of at least four times the financing. 4.6 Underwriting approval issues or the file closes with reasons stated.

Phase 2: Ongoing program operations. 4.7 New developer applications enter continuously. 4.8 Each qualifying project annexes by the landowner's unanimous written approval under Government Code 53339.3, and the council approves the annexation on its regular calendar; no election, no protest hearing, and the existing district's maximum tax rate cannot rise as a result. 4.9 Project underwriting repeats per deal. 4.10 Funding follows each approval, with the capital mechanics described in Chapter 6.6 and marked pending question 10. 4.11 Annual administration prepares the levy each fiscal year, July 1 through June 30. 4.12 Delinquency administration tracks, reports, and pursues per the adopted policy. 4.13 Program reporting delivers the annual filings, including the state reports the Treasurer's office requires of Mello-Roos issuers.

Phase 3: Long-term capital management. 4.14 Portfolio monitoring watches coverage, delinquency, and concentration. 4.15 Optional bond refinancing is evaluated when the portfolio stabilizes; it is never required. 4.16 The program continues: new projects annex regardless of what the capital stack above them does.

Chapter 5: Roles and Responsibilities

5.1 The participating public agency adopts its goals and policies, forms the master district, approves each annexation, and levies the special tax by its ordinance; it lends nothing, guarantees nothing, budgets nothing, and staffs nothing beyond agenda time.

5.2 The joint powers authority, where that path is chosen, stands in the forming agency's seat, with member agencies holding the approvals their joint agreement reserves.

5.3 The program administrator, HGF Management Company, prepares every formation and annexation document for counsel's review, manages the appraisal panel, runs underwriting, prepares the annual levy submission to county specifications, administers delinquency and disclosure, and reports to the agency and the capital providers.

5.4 Division of responsibilities.

Function	Agency	County	Administrator
Goals and policies (53312.7)	Adopts		Drafts for review
Master district formation	Approves		Prepares documents
Project annexations	Council approves		Prepares packet
Underwriting and appraisal			Runs per INS-101
Annual levy	Levies by ordinance	Collects on the roll	Prepares submission
Delinquency management		Standard tax process	Tracks and pursues
Disclosure and reporting	Receives		Prepares and files
Repayment obligation	None	None	None; the land pays

Chapter 6: Legal and Financing Structure

6.1 The INSITE community facilities district. Unlike traditional land-secured financings created for a single project, each participating agency establishes one long-term community facilities district designed to serve many qualifying projects over many years through voluntary annexations from a recorded future annexation area. The structure, in sequence: the participating agency forms the district with its future annexation area; projects A, B, C, and D annex as they qualify; funding follows each annexation; the annual special tax administration covers every annexed parcel; and an optional portfolio refinancing sits at the end of the pipeline while the program simply continues. This is the architecture running today in Roseville, Escondido, and Chula Vista, whose CFD No. 17-I was formed precisely to finance development impact fees.

6.2 Formation. The agency adopts local goals and policies (Government Code 53312.7); the council adopts a resolution of intention naming the district, the eligible facilities and fees, the rate-and-method, and the future annexation area; the public hearing follows within the Act's 30-to-60-day window; on undeveloped land the landowners are the electors, so the initial election is a landowner vote; the resolution of formation, boundary map, and notice of special tax lien are recorded; and the program is live.

6.3 Future annexations. The district stays open. Each later project joins by the unanimous written approval of its owner or owners at the time of annexation, exactly as Government Code 53339.3(b) provides and as Roseville's and Escondido's standing forms implement; the council approves; the annexation map and notice of special tax lien record against the new parcels; and the statute forbids any increase in the existing district's maximum tax rate as a consequence.

6.4 The rate-and-method of apportionment. The recorded formula fixes, in advance and for everyone: the maximum special tax by land-use class, any annual escalation, the backup tax mechanics, the prepayment methodology resting on Government Code 53344, the treatment of each annexed zone, and the administrator's operating flexibility. The special tax consultant drafts it once as the program standard; every annexation then inherits it.

6.5 Eligible financing costs. The core is the participating agency's own development impact fees, plus the formation and financing costs the Act allows. School fees are marked pending question 9, with the joint-agreement mechanism and the pay-then-reimburse mechanics described in Chapter 2.5. The outline's further categories, utility connection fees, capacity charges, public improvements, capitalized interest, and reserves, are listed for the founder's scope decision and enter only with bond counsel's confirmation per category.

6.6 The INSITE financing platform. Marked pending question 10, and drafted here on the reading the founder's own notes support: one pipeline at three altitudes. At origination, each project's funding is a privately placed, tax-secured obligation sized to that project alone, secured only by that project's special taxes, with no cross-collateralization. A revolving warehouse credit facility carries the growing portfolio: draw request, funding approval, advance, payment of eligible costs, repayment through the annual special taxes. And pooled tax-exempt bonds stand as the optional permanent take-out once the portfolio stabilizes. The advantages the founder's outline claims for this platform are real and specific: immediate access to capital rather than waiting on a bond sale, funding for projects too small to carry their own bond issue, and continuous financing as annexations continue. If the founder instead answers that the facility replaces the note-per-project layer, this section and four external documents change together.

6.7 Funding and financing agreements. The document suite, each to be drafted by bond counsel and described here by function: the Funding Agreement (the master instrument among the agency, the district, and the administrator governing how proceeds pay eligible costs); the Acquisition Agreement (where improvements are financed, the terms on which completed public improvements are accepted); the Reimbursement Agreement (the instrument behind the pay-then-reimburse mechanics, including the school-fee path if opened); the Indemnity Agreement (the developer's indemnity running to the agency); and the joint community facilities agreement (required by Government Code 53316.2 whenever another agency's facilities or fees are financed).

6.8 Optional bond refinancing. Bond financing is never required for the program to operate. When a stabilized portfolio makes refinancing attractive, the options run from pooled tax-exempt bonds to stand-alone issues to continued private placement, each with its own disclosure obligations; and whatever happens above, annexations continue without interruption below.

Part III: Program Administration and Participation

Chapter 7: Administration and Risk Management

7.1 Limited agency liability. The notes are repaid only from the special taxes on participating parcels. Elk Grove's own staff report on the existing statewide programs states the position plainly: the city acts as an intermediary and incurs no financial liability or risk by participating. The same architecture governs here.

7.2 No general fund obligation. The agency never lends, guarantees, budgets, or appropriates. If every participating parcel defaulted tomorrow, the remedy runs against the land through the tax system, never against the agency.

7.3 Annual responsibilities. The agency's recurring work is one item: the annual levy ordinance or resolution on the consent calendar, from a packet the administrator prepares. Everything else in this chapter is the administrator's job description.

7.4 County coordination. The special tax is submitted to the county as a direct levy on the secured roll, the same process counties such as Sacramento operate today for thousands of district charges, to the county's format, on the county's calendar.

7.5 The annual levy. Each fiscal year, July 1 through June 30, the administrator calculates each parcel's tax under the recorded rate-and-method, reconciles prior collections, prepares the submission, and delivers it inside the county's deadlines; the tax then appears on the parcel's ordinary property tax bill.

7.6 Disclosure. Sellers deliver the statutory Notice of Special Tax to buyers in escrow; the administrator maintains the notice; and once bonds exist, the program carries the continuing disclosure and state reporting obligations that come with them, including the annual filings the Treasurer's office requires of Mello-Roos issuers.

7.7 Delinquencies and foreclosure. The special tax carries property-tax standing: same bill, same penalties, same lien priority, with judicial foreclosure as the ultimate remedy. Occupied homes are protected by the 10 percent limitation of Government Code 53321(d), and the program's adopted delinquency policy governs reminders, demand, and escalation.

7.8 Continuing compliance. The administrator maintains the district's records, the annexation register, the lien notices, and the reporting calendar, and hands the agency a clean annual file.

7.9 Continuing administration. Programs outlive people. The administration is built on standardized documents and a contracted tax-roll administration firm, so the machine runs the same in year twelve as in year one.

Chapter 8: Why INSITE Is Different

8.1 Traditional Mello-Roos. Built for the master-planned community: one district per project, formation measured in months, costs that only large projects absorb. The state's Debt Financing Guide puts ordinary formation at six months or more.

8.2 Assessment districts. Benefit-apportioned and improvement-focused, with a narrower menu than the Act's; a fine tool that is not shaped for fee financing at small scale.

8.3 SCIP. The Statewide Community Infrastructure Program, run by the California Statewide Communities Development Authority since 2002, finances fees and improvements through pooled statewide issuance; hundreds of agencies are members, and it is the proof that fee financing works as a program.

8.4 BOLD. The California Municipal Finance Authority's Bond Opportunities for Land Development program does the same work through community facilities districts, statewide.

8.5 INSITE. A standing district in each participating jurisdiction rather than a statewide pool; the agency's own council keeping every approval; underwriting and documents standardized for 2 to 50 lots; and funding mechanics that do not wait for a bond sale.

8.6 Side by side.

	Traditional CFD	Assessment district	SCIP	BOLD	INSITE
Sponsor	The agency, per project	The agency	CSCDA, statewide	CMFA, statewide	The agency, once
Formed per project	Yes	Yes	No; pooled	No; pooled	No; one master district
Built for	Master-planned scale	Improvements	Fees and improvements	Fees and improvements	2-to-50-lot subdivisions
Local approval of each project	Yes	Yes	Through the pool	Through the pool	Yes, the council
Funding timing	Bond sale	Bond sale	Pooled bond cycles	Bond cycles	Advance at approval, pending question 10
Status	Decades of practice	Decades of practice	Operating since 2002	Operating	Pre-launch

Chapter 9: Becoming a Participating Agency

9.1 An initial discussion with the administrator, thirty minutes, no documents required. 9.2 A program presentation to the agency's chosen audience, with this guide and the document set left behind. 9.3 Legal review by the city attorney or county counsel, with bond counsel available. 9.4 The Participation Agreement, the master instrument between the agency and the program, drafted by bond counsel from the term map in Appendix A. 9.5 The required resolutions: adopting goals and policies, the resolution of intention, and the resolution of formation, from the maps in Appendix E. 9.6 The public hearing inside the Act's 30-to-60-day window. 9.7 The formation documents: rate-and-method, boundary map, notice of special tax lien, recorded. 9.8 Program adoption: the district exists and the future annexation area is on record. 9.9 Program launch: the first project annexes, and the ongoing partnership with INSITE begins, which from the agency's side looks like one consent-calendar item per project and one levy item per year.

Chapter 10: Frequently Asked Questions

10.1 General. What is this, in one line? A standing district that lets small subdivisions finance their impact fees on the tax roll. Who runs it? HGF Management Company as program administrator; the agency keeps every approval. What is the program's status? Pre-launch: structure built, no district formed, no note closed, and this guide says so wherever it matters.

10.2 Financing. What are the rates? Set at term sheet, not in marketing; every figure in circulation is a target. What protects the security? Value of at least four times the financing by independent MAI appraisal to State Treasurer standards, against the statute's three-to-one floor. Can an owner exit? Yes; the prepayment right rests on Government Code 53344 and is defined in the recorded rate-and-method.

10.3 Public agency. How much staff time? Formation once, then one consent item per annexation and one levy item per year, from packets the administrator prepares. What is the agency's exposure? None to the general fund; the land alone repays, and Elk Grove's staff report language on the statewide programs applies with equal force here. What if the program winds down? The district and its recorded obligations continue under the agency's ordinary Mello-Roos administration; the standardized documents were built so any competent administrator can run them.

10.4 Developer. Where do developers start? The companion INS-302 Developer Guide and the INS-201 data package. What does a developer pay? The deal's execution costs, targeted at $5,000 to $30,000 per project, a founder estimate pending vendor quotes, plus program fees set at term sheet. Are school fees included? Pending the founder's decision, question 9; excluded at launch as this draft stands.

10.5 Annual administration. Who levies and who collects? The agency levies by its ordinance; the county collects on the ordinary property tax bill. What happens on delinquency? Property-tax process, the adopted delinquency policy, and the 10 percent protection for occupied homes. What does the agency see each year? A clean annual file: levy, collections, delinquencies, and the state filings.

Appendices

Appendix A: Sample Participation Agreement

SAMPLE FOR DISCUSSION ONLY. SUBJECT TO BOND COUNSEL REVIEW AND REVISION. NOT FOR EXECUTION.

Participation Agreement between [Participating Agency] and HGF Management Company. Recitals: the Agency is authorized under the Mello-Roos Community Facilities Act of 1982, Government Code 53311 and following, to form community facilities districts; the Agency desires a standing program financing eligible development fees for qualifying small subdivisions; and HGF Management Company (the Administrator) operates the INSITE program for that purpose. The parties therefore agree:

Article 1, Definitions. "Act" means the Mello-Roos Community Facilities Act of 1982. "District" means the community facilities district the Agency forms under this Agreement, together with its recorded future annexation area under Government Code 53339.3(b). "Rate-and-Method" means the recorded rate-and-method of apportionment, including its prepayment provisions resting on Government Code 53344. "Eligible Costs" means the development fees and other costs the Agency's formation documents authorize. "Qualifying Project" means a residential subdivision of 2 to 50 lots meeting the program's underwriting standards.

Article 2, The Program. The Agency will consider and adopt local goals and policies as Government Code 53312.7 requires, form one District with a future annexation area, and thereafter consider each Qualifying Project's annexation on its regular calendar. Nothing in this Agreement obligates the Agency to approve any annexation; every approval remains in the Agency's sole legislative discretion.

Article 3, Agency undertakings. The Agency will calendar the resolution of intention, the public hearing within the Act's 30-to-60-day window, and the formation documents; consider annexation resolutions for projects the Administrator certifies as qualifying; and levy the annual special tax by ordinance or resolution from the roll the Administrator prepares.

Article 4, Administrator duties. The Administrator will prepare every formation, annexation, and levy document for the Agency's counsel to review; engage and manage independent MAI appraisers under the program appraisal manual to State Treasurer standards, requiring appraised value of at least four times any financing; run underwriting, including the program's total-tax-burden benchmark near 2 percent of home value; prepare the annual levy submission to the county's specifications; administer delinquency management, buyer notices, and reporting; and maintain the District's records for the Agency.

Article 5, No Agency obligation. All obligations funded through the program are payable solely from the special taxes levied on participating parcels. The Agency's general fund is never pledged, obligated, or exposed, and no deficiency of any kind is recoverable from the Agency.

Article 6, Costs and fees. Developers pay each project's execution costs; program fees are fixed at term sheet; and the Agency's own costs of formation and administration are recoverable from program proceeds as the formation documents provide.

Article 7, Records and audit. The Administrator maintains complete program records, delivers an annual file to the Agency, and makes records available for the Agency's inspection and audit on reasonable notice.

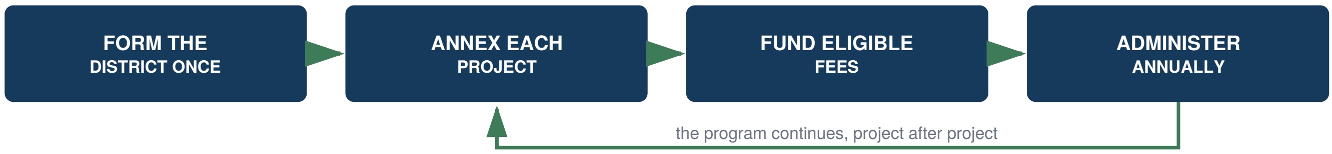
Article 8, Term, termination, and wind-down. This Agreement continues until terminated by either party on written notice. Termination does not affect the District, the recorded liens, or the levies, which continue under the Agency's ordinary Mello-Roos administration using the program's standardized documents.

Article 9, Indemnity and standard of care. Developer indemnities running to the Agency are delivered under the program's Indemnity Agreement at each annexation. The Administrator performs its duties with the care of a professional program administrator and maintains the insurance the Agency reasonably requires.

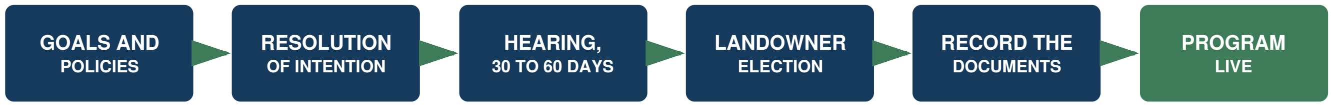
Article 10, General. No assignment without the Agency's consent; California law governs; notices in writing to the addresses on the signature page. Signature blocks follow for the Agency and the Administrator, each with counsel approval lines.

Appendix B: Program Flow Diagrams

B-1, the lifecycle. Form the district once; annex each project; fund eligible fees; administer annually; and the program continues, project after project.

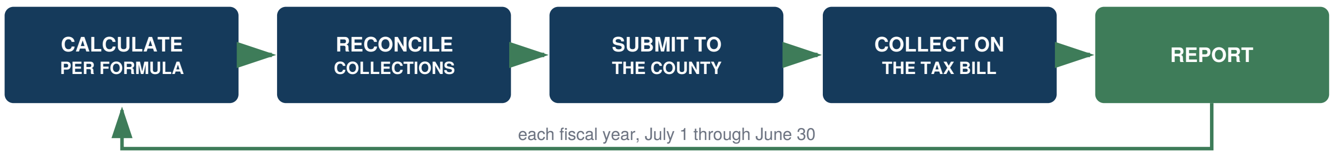


B-2, formation. From goals and policies to a live program in five council-calendar steps.



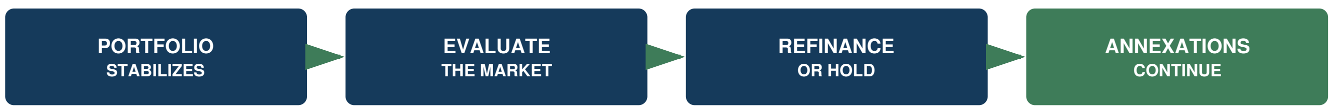
B-3, developer annexation. One data package through screening, appraisal, underwriting, the owner's consent, and one council consent item.

B-4, the annual cycle. Calculate under the recorded formula, reconcile, submit, collect on the ordinary tax bill, report; then again each July 1.



B-5, facility cash flow. Draw, approve, advance, pay eligible costs, and the special taxes repay the revolving facility (pending question 10).

B-6, optional refinancing. Stabilize, evaluate, refinance or hold; annexations continue either way.



Appendix C: Full Responsibility Matrix

Function	Agency	County	Administrator	Professionals
Local goals and policies (53312.7)	Adopts		Drafts for counsel review	Counsel reviews
District formation and future annexation area	Approves and records		Prepares all documents	Counsel, tax consultant
Rate-and-method	Approves at formation		Manages the standard	Special tax consultant drafts
Project screening and data package			Runs INS-201 intake	
Appraisal (four-to-one policy)			Engages and manages panel	Independent MAI appraiser
Underwriting decision			Decides per program standards	
Annexation approval	Council consent item		Prepares packet and recordings	Counsel form-checks
Funding of eligible costs			Administers per agreements	Capital provider advances
Annual levy	Levies by ordinance	Collects on the roll	Calculates and submits	Tax roll administration firm
Delinquency management	Authorizes remedies	Standard tax process	Tracks, notices, pursues	Foreclosure counsel if needed
Buyer disclosure			Maintains the notice	Escrow delivers
Annual state filings and reporting	Receives the file		Prepares and files	
Repayment obligation	None	None	None	None; the land pays

Appendix D: The Program Document Suite

Participation Agreement. Purpose: the master relationship. Parties: agency and administrator. Key terms: program undertakings, sole-discretion approvals, no general fund obligation, cost recovery, wind-down continuity. Trigger: agency joins. Sample at Appendix A.

Funding Agreement. Purpose: controls how proceeds pay eligible costs. Parties: district, administrator, capital provider. Key terms: conditions to funding, requisition and certification procedure, eligible-cost definitions, flow of funds, events of default. Trigger: first funding. TO BE DRAFTED BY BOND COUNSEL.

Acquisition Agreement. Purpose: where constructed improvements are financed, the terms for accepting completed public improvements. Key terms: plans and standards, inspection, purchase price and payment, warranties, public-works requirements as counsel directs. Trigger: only if the founder opens the improvements category. TO BE DRAFTED BY BOND COUNSEL.

Reimbursement Agreement. Purpose: the pay-then-reimburse instrument. Key terms: proof standards (paid invoices, and the district clearance certificate on the school path), reimbursement caps, the look-back window counsel confirms, no reimbursement without a recorded annexation. Trigger: each funded project. TO BE DRAFTED BY BOND COUNSEL.

Indemnity Agreement. Purpose: the developer's indemnity running to the agency. Key terms: scope, defense obligations, survival, insurance. Trigger: each annexation. TO BE DRAFTED BY BOND COUNSEL.

Joint Community Facilities Agreement. Purpose: required by Government Code 53316.2 whenever another agency's facilities or fees are financed; on the school path, the thin master form per city-and-district pair. Key terms: the financed fees, requisition mechanics on the Riverside pattern, no obligations beyond receipt. Trigger: the founder's question 9 answer. TO BE DRAFTED BY BOND COUNSEL.

Developer Application Package. The existing INS-201 checklist is the controlling intake instrument.

Appendix E: Sample Resolutions

SAMPLES FOR DISCUSSION ONLY. SUBJECT TO BOND COUNSEL REVIEW AND REVISION. NOT FOR EXECUTION.

E-1, Resolution to join the INSITE program. Patterned on the form joining resolutions the statewide authorities distribute; the California Municipal Finance Authority's form is on file in the program's evidence library. WHEREAS, the [City Council / Board of Supervisors] has reviewed the INSITE Participation Agreement and this Guide, and has determined that participation is in the public interest, facilitating housing production and the timely payment of development fees with no obligation of the [City's/County's] general fund; NOW, THEREFORE, the Council resolves: Section 1, the Participation Agreement is approved, and the [Mayor / City Manager / Chair] or designee is authorized and directed to execute it, with the Clerk attesting. Section 2, the proper officers are authorized to execute such other documents and perform such other acts as are necessary or convenient to the purposes of this Resolution. Section 3, the Clerk shall forward a certified copy of this Resolution and the executed Agreement to the program administrator. Section 4, this Resolution takes effect immediately. Adoption and vote block follow. (Agencies choosing the joint-powers path adopt the authority's own form joining resolution instead, approving the joint exercise of powers agreement.)

E-2, Resolution adopting local goals and policies. WHEREAS, Government Code 53312.7 requires the adoption of local goals and policies before community facilities district proceedings; and WHEREAS, the attached policies establish appraisal standards to State Treasurer criteria with value of at least four times any financing, a total-tax-burden benchmark near 2 percent of home value, and delinquency management standards; NOW, THEREFORE, the Council resolves: the attached Local Goals and Policies are adopted; the Clerk shall keep them on file; this resolution takes effect immediately.

E-3, Resolution of intention. WHEREAS, the Council is authorized under the Mello-Roos Community Facilities Act of 1982; NOW, THEREFORE, the Council resolves: it intends to form "[Agency] Community Facilities District No. [__] (INSITE Program)"; the district's boundaries and its future annexation area are as shown on the map on file, with parcels in the future annexation area annexed only by the unanimous approval of their owners at the time of annexation as Government Code 53339.3(b) provides; the facilities and eligible development fees to be financed are described in Exhibit A; the rate-and-method of apportionment, including prepayment provisions under Government Code 53344, is attached as Exhibit B; a public hearing is set for [date], within the Act's 30-to-60-day window; and the Clerk shall give notice as the Act requires.

E-4, Annexation resolution (per project). WHEREAS, the district was formed with a future annexation area; and WHEREAS, the owner of the parcels described in Exhibit A has delivered unanimous written approval of annexation, the special tax, and the rate-and-method; NOW, THEREFORE, the Council resolves: the parcels in Exhibit A are annexed to the district; the annexation map and notice of special tax lien shall be recorded; and the Council finds the maximum special tax in the existing district is not increased by this annexation, consistent with Government Code 53339.3(e).

E-5, Annual levy resolution. WHEREAS, the rate-and-method fixes each parcel's maximum special tax; NOW, THEREFORE, the Council resolves: the special tax for fiscal year [____], July 1 through June 30, is levied on each parcel as shown on the roll on file with the Clerk, prepared under the rate-and-method; and staff shall submit the roll to the County for collection with the ordinary property taxes.

Appendix F: Glossary

The Act: the Mello-Roos Community Facilities Act of 1982, Government Code 53311 and following. **Administrator:** HGF Management Company, the program administrator. **Annexation:** a parcel joining the existing district by its owner's unanimous written approval. **Annexation map:** the recorded map adding parcels to the district. **Backup special tax:** the rate-and-method's protective floor mechanics. **CDIAC:** the California Debt and Investment Advisory Commission, whose appraisal standards the program adopts. **CFD:** a community facilities district. **Clearance certificate:** the school district's proof of fee payment, the reimbursement trigger on the school path. **Consent calendar:** the council's routine-items calendar where annexations sit. **Continuing disclosure:** the reporting obligations that attach once bonds exist. **Data package:** the INS-201 submission. **Delinquency:** an unpaid installment, handled through the ordinary property tax process. **Direct levy:** a district charge submitted to the county for collection on the secured roll. **Eligible costs:** the fees and costs the formation documents authorize. **Escalation:** the annual adjustment, if any, the rate-and-method fixes. **Execution costs:** the per-deal costs the developer pays, targeted at $5,000 to $30,000, a founder estimate. **Fiscal year:** July 1 through June 30. **Future annexation area:** territory identified at formation from which parcels may later annex, Government Code 53339.3(b). **JCFA:** joint community facilities agreement, Government Code 53316.2. **Landowner election:** the formation vote where landowners are the electors on undeveloped land. **MAI:** the Appraisal Institute's senior designation, required of program appraisers. **Maximum special tax:** the recorded ceiling per land-use class. **Notice of Special Tax:** the statutory disclosure delivered to buyers in escrow. **Notice of Special Tax Lien:** the recorded instrument that makes the obligation run with the land. **Prepayment:** full satisfaction of the obligation under Government Code 53344 and the rate-and-method. **Program fees:** the administrator's fees, set at term sheet. **Rate-and-method of apportionment:** the recorded tax formula. **Resolution of intention:** the council act that begins formation. **Special tax:** the Act's non-ad-valorem levy, collected with property taxes. **Term sheet:** the document where every rate becomes real. **Underwriting:** the value and burden tests every project passes before funding. **Unanimous approval:** the owner's written consent that annexes a parcel. **Warehouse facility:** the revolving credit line described in Chapter 6.6, pending question 10.

Appendix G: Checklists

G-1, the city or county. - [ ] Local goals and policies adopted (53312.7) - [ ] Participation Agreement reviewed by counsel and executed - [ ] Resolution of intention adopted with the future annexation area - [ ] Public hearing held inside the 30-to-60-day window - [ ] Landowner election conducted and canvassed - [ ] Formation documents, boundary map, and notice of special tax lien recorded - [ ] First annexation calendared as a consent item - [ ] Annual levy item calendared each year

G-2, a joint powers authority. - [ ] Joint agreement executed among member agencies - [ ] Member approval rights mapped and documented - [ ] The same formation sequence as G-1, run by the authority - [ ] Reporting lines to member agencies established

G-3, INSITE administration. - [ ] INS-201 data package standard current - [ ] Appraisal panel engaged under INS-101 to State Treasurer standards - [ ] Rate-and-method program standard adopted with the special tax consultant - [ ] County levy submission format and calendar confirmed - [ ] Delinquency policy adopted and noticed - [ ] Annual reporting calendar built, including the state filings - [ ] Records system live: annexation register, lien notices, levy rolls

G-4, bond counsel. - [ ] The Appendix D suite drafted from the term descriptions - [ ] The Appendix A and E samples reviewed and revised for execution - [ ] Question 9, if opened: the joint agreement confirmed for fee reimbursement, and the look-back window confirmed - [ ] Formation and annexation forms conformed to the agency's practice

G-5, the special tax consultant. - [ ] Rate-and-method drafted as the program standard - [ ] Maximum tax, escalation, and backup mechanics fixed - [ ] Prepayment methodology fixed under Government Code 53344 - [ ] Annexation inheritance confirmed so every project adopts the standard - [ ] The 2 percent burden test embedded in the levy model

Sources

Statutes cited: Government Code 53311 and following (the Act); 53312.7 (local goals and policies); 53316.2 (joint community facilities agreements); 53321(d) (the 10 percent protection); 53339.3 (future annexation areas, annexation protections, hearing window); 53344 (prepayment); 53345.8 (the three-to-one value floor); 65940.1 (posted fee schedules); Education Code 17620 and Government Code 65995 (school fees, context for question 9). Programs and precedents: SCIP (CSCDA), BOLD (CMFA), Roseville Resolution 18-346, Escondido's unanimous-approval form, Chula Vista CFD No. 17-I, Sacramento County direct levy practice, Elk Grove staff report. Market figures: 62,372 units (2025, Census primary data, recomputed), $23,455 average fee and amounts exceeding $150,000 (cited studies), 9.5 to 15 percent private money, $5,000 to $30,000 execution costs (founder estimate). Every item above carries a dated, sourced entry in the INSITE Claims Register, entries A1 through G12; the register is the controlling citation record.